

Brazil's Credit Push Tests the Line Between Fiscal Policy and Monetary Control

Finance Minister Durigan's defense of credit lines reveals a tension that matters for CRE capital costs.

The most important word in Finance Minister Dario Durigan's defense of Brazil's new credit measures is not "credit." It is "won't." Durigan told G1 that the credit lines introduced by President Lula's government do not undermine monetary policy. The statement is meant to reassure markets that fiscal expansion and central bank independence can coexist. For anyone allocating capital to Brazilian real estate, the reassurance is worth examining closely. The tension is straightforward.

Credit lines increase borrowing capacity. More borrowing capacity, if deployed, adds demand for goods, services, and assets. That demand, in a economy already running near capacity, puts upward pressure on prices. The central bank, tasked with controlling inflation, responds by raising the Selic rate. Higher rates raise the cost of debt for every commercial real estate owner, developer, and lender in the country.

Durigan's argument is that these credit lines are targeted and temporary. They are not broad fiscal stimulus. They are designed to reach specific sectors or borrowers that the market is underserving. If the credit is deployed into idle capacity or supply-constrained segments, the inflationary effect may be muted. That is the theory. The market's job is to test the theory against reality. Brazil's Selic rate is already elevated.

The central bank has been clear that it will not tolerate inflation expectations drifting above target. Any fiscal measure that adds demand without adding supply forces the central bank to tighten more. That is not a political judgment. It is arithmetic. For CRE capital markets, the stakes are specific. Brazilian real estate debt is priced off the Selic curve plus a spread that reflects asset risk, sponsor quality, and liquidity.

If the Selic stays higher for longer because credit lines add demand pressure, the cost of carry for every leveraged asset rises. Cap rates adjust. Valuations compress. Refinancing becomes more expensive or unavailable. The beneficiaries of this dynamic are lenders who can price floating-rate debt at wider margins and equity investors who hold unlevered assets with strong cash flow.

The exposed are owners with floating-rate debt, developers relying on construction loans with short maturities, and sponsors who underwrote exits at lower rates. What the market should watch next is not Durigan's next interview. It is the central bank's next decision. If the Selic holds or rises, the credit lines are not neutral. They are a fiscal headwind that monetary policy must offset.

If the Selic cuts begin, the credit lines are either small enough to ignore or the economy has enough slack to absorb them. The distinction between fiscal policy and monetary policy is real. But in a capital market, the distinction that matters is between what a finance minister says and what the central bank does. Durigan says the credit lines won't affect policy.

The market will watch the Selic for the real answer.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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